



Warehouse Claims

Discovery, Insights, and Opportunities

Product design and research

Warehousing and logistics



Building Bridges Between Warehouse Partners

Enabling and reducing the workload for Warehouse Customer Service

Supporting claims process transparency, communication, automation, and systems integration

Modernizing claims related data management and reporting capabilities

Cross-functional delivery team

Product design, product management, research, engineering, and supply-chain operations partnered through discovery and delivery.

A claim represents a mistake somewhere.

A claim is made when there is a discrepancy with a received order.



Received Incorrectly

Inaccurate Counts

Ghost Picking

Misdelivered

Loaded Incorrectly

Misplaced

Missed Scan

Transit Damage

Supplier Issue

Theft

Claims are an unseen piece of the puzzle that support our mission to provide **fresh affordable** products to customers.

Accurate Balance on Hand

Key Insight

Store and Department managers have a set budget and quota commodity sales. When they don't get product they spent as a part of their budget, not only does it hit their shrink, but now they are short on sellable product to hit quota, and they will have to order more. Triple hit to the P&L.

Operational Insight

Key Insight

Warehouses want to know how their operations are performing when selecting and shipping orders. They also are concerned with Asset Protection & Loss Diversion.

Financial Accountability

Key Insight

Finance & Accounting need a balanced network to provide accurate costs and profits concerning commodities. If claims are unaccounted for, there could be overage or shortage discrepancies.

Associate Accountability

Key Insight

Claims can provide insight into asset protection to minimize theft and fraud in the warehouse and store

Who is Impacted and why does this matter?

The missing product goes towards SOMEONE's shrink budget.

Store / Department Manager

Limited budget. If didn't receive a product and are charged, it counts for their shrink and Profits & Losses

Warehouse Operations

Desire to mitigate mistakes. Claims offer insight into corrective action

Warehouse Customer Service

Desire to serve stores as best they can. A conduit between the warehouse and partners

Asset Protection & Loss Diversion

Desire to uncover theft or mistakes to support asset protection. Claims act as signals for an investigation.

Supply Chain Operations

Manage the business operation around labor and act as a conduit between the warehouses and finance.

Finance & Accounting

Want a balanced network in the most seamless manner. Claims require moving money from various accounts

How does whKonnnect support Claims?

- Tracking for outbound warehouse delivery issues for store orders managed by CAO and RMS.
- Enabling Warehouse Customer Service in delivery issue tracking, investigation, and claims resolution
- Supporting Retail Departments and Store managers to submit claims for missing product and overages.
- Supporting Supply Chain Claims Program Management to oversee claims for the enterprise.
- Providing accurate accounting to RASC and FCB to financially balance the network.
- Providing access to claims related data for reporting and operational insights.





Stakeholder Overview

Primary Users

Warehouse
Customer
Service

Store Associates
(Managers)

Finance
& Accounting
(RASC & FCB)

Supply Chain
Program Management

Secondary Users

Warehouse
Operations

SNAP-V Users

Asset Protection

Division
Leadership

Supply Chain
Leadership

Logistics
Leadership

Dairy & Bakery
Manufacturing

The Builders

Warehouse Management
Systems Integrations (WMiS)

Replenishment, Forecast
& Plannings Integration Services
(RFPIS)

Supply Chain
E2E Data (WDDI)

Supply Chain
Analytics (SCA)

Metrics that Matter
Electronic Store Invoice
(ESI)

Key Stakeholders

Asset Protection

Supply Chain
Operations

Retail
Operations

IMO & SMO

MyDay (AX)

Instock (AX)
(Replenishment, Order
& Task Management)

Finance & Accounting

Warehouse
Management
Systems

WIN

SUN & CBS

Transportation

ESI
Store Invoice

Buying &
Replenishment

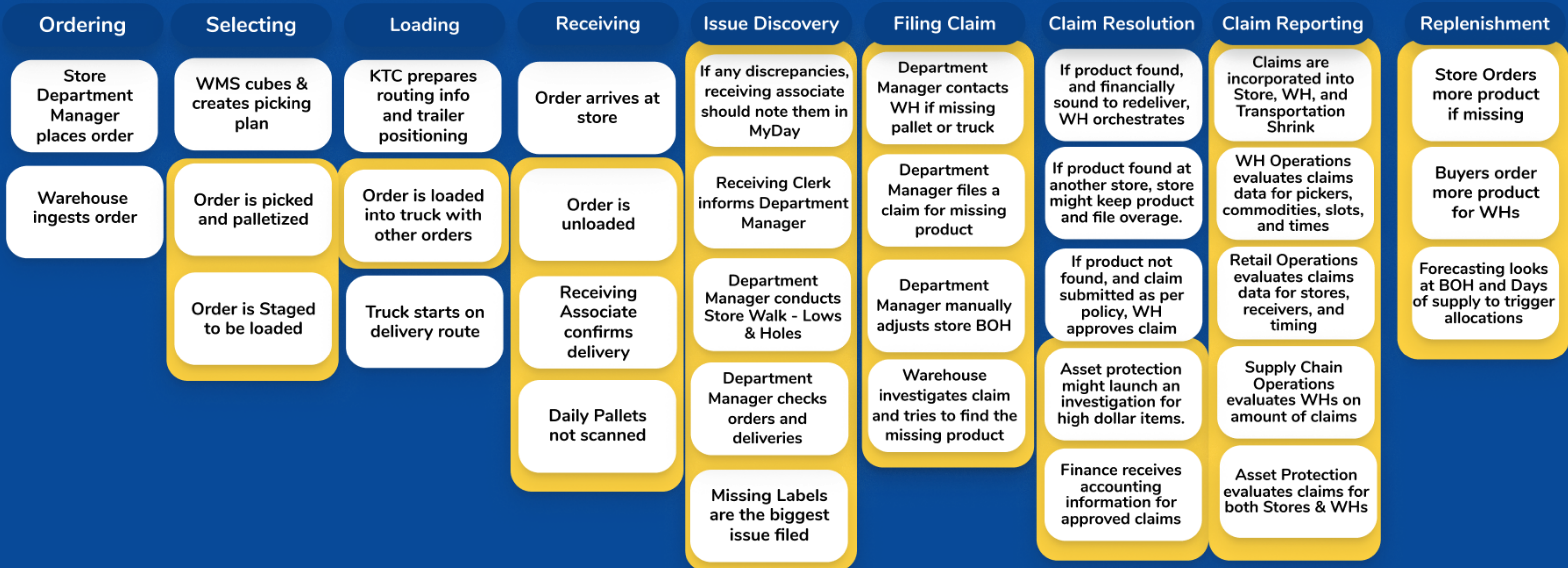
Dairy & Bakery
Manufacturing

SNAP-V

Claims Overview

Just a Snapshot and Not Comprehensive

80% of claims are concealed shortages - 1 or 2 items missing or is less than 75% of the pallet.



What have we done so far?

Claim Creation Improvements

- Importing Shipment Information (Invoice) to expedite claims submission.
- Improved visibility for claim type and claim amount.
- Incorporated Item ID and Pallet search expediting submitting a claim for a missing pallet or item

whKonnnect® Claims Dashboard

Claims dashboard - sanitized example

Claim Processing Improvements

- Improved Collaboration and Visibility between stakeholders
- Reduced the amount of processing notes needed with automatically pulling data from Invoice, and ASNs in the future. Potentially, the WMS as well.
- Selector information can now be applied to entire pallet.
- Future - calculating percentage of pallet short to help determine if missing pallet or a concealed shortage.



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Claim processing - sanitized example

Within 8 months...

Milestone

Uncovered an unstudied domain and an under-represented key persona, Warehouse Customer Service Representative.

Milestone

Overcame several cross domain and team hurdles paired with multiple competing priorities and deadlines.

MVP launched with a pilot distribution center and receiving stores.

Claims dashboard - sanitized example



Observed outcome

Stakeholder feedback described the MVP as a meaningful improvement to the existing credit and claims workflow.

Key Insights & Discoveries

Key Insight

SIGNIFICANT amount of manual work, double work, and triple work by many different stakeholders. Replenishment, claims investigation, reporting in general, manual reconciliations, and more

Key Insight

Many disconnected systems that creates a lack of transparency across systems and lags between affecting BOH, Days of Supply, and ordering.

Significant Opportunities for better systems integration, data automation, reporting enhancements, notifications, and communication between relevant parties.

Key Insight

Stores want to be able to file a claim on their handheld using the products they currently use for store walks and receiving.

Key Insight

Across the entire process, there is a lack of clarity for who to contact when for what and what process to follow. From store to warehouse to buyers to vendors to finance.



Opportunity Areas

Low to Medium Effort

Transportation
Claims

Bakery & Dairy
Claims

Cross-docking
Claims when
different than
Billing DC

Integration with
MyDay

Medium to Large Effort

Quality Claims -
E40

Vendor /
Merchandising
DSD Store Claims
- E40

Claims from Magic
Warehouses

Fulfillment Center
Claims

ACI & C&S Claims

Large to XL Effort

Inbound WH
Vendor Claims

Manufacturing
Claims

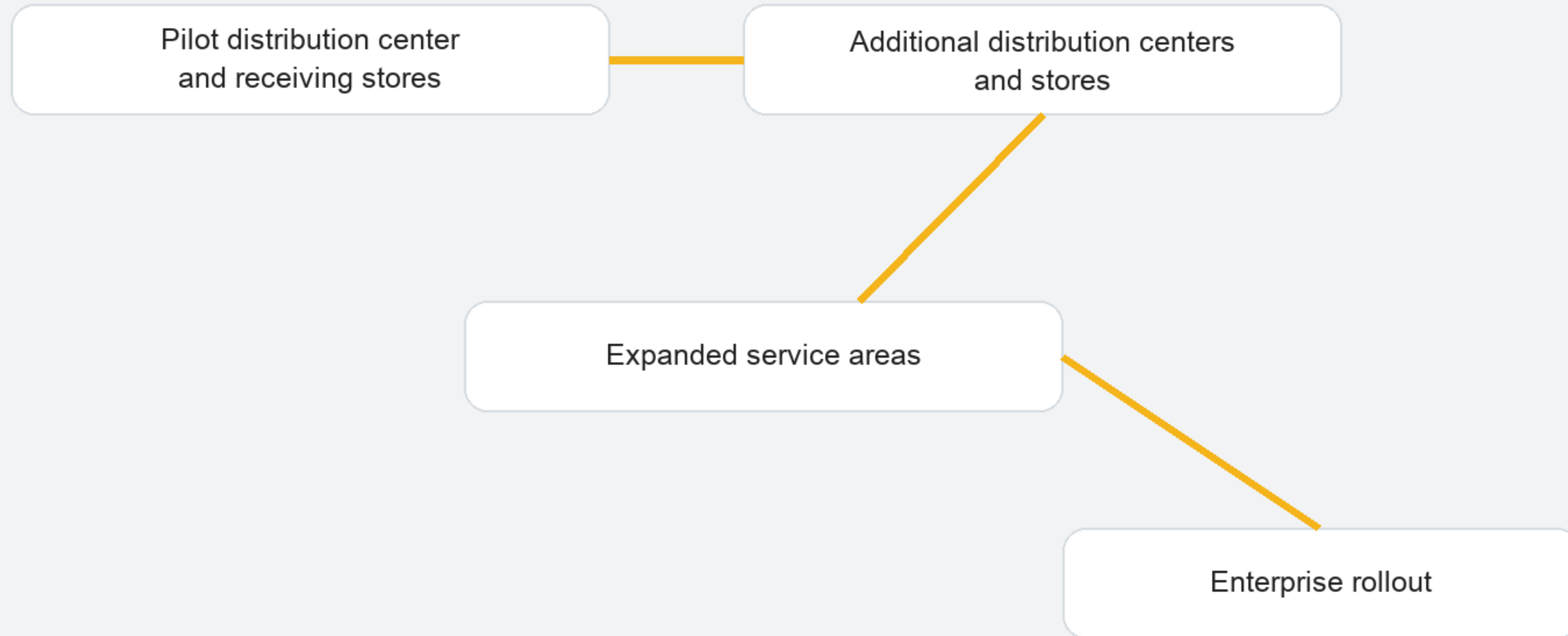
Integration w/
Balance on Hand

Unknown Effort

Harris Teeter
Claims

Customer Claims
(out of scope
entirely)

whKonnnect Launch Plan



Next Steps & Metrics

To sufficiently support the business and stakeholders, we want to continue to reduce the time it takes to recognize and recover from delivery mistakes.

Strengthen Cross-Domain & Cross-Pillar Collaboration

Implement Reporting Capabilities

Collaborate with Business partners to reduce the need for claims

Streamline the network rebalancing

Feature match legacy system to support enterprise, IMO, & SMO

Integrate more efficiently into the Kroger ecosystem and associate workflows

Monitor how much of the claim processing side we've reduced.

Monitor if we actually reduced time to submit claim from 1.5 hrs to 15 minutes



Complexity means many players, many systems, and competing priorities. It does not have to mean complex solutions or elongated timelines to deliver value.

One Kroger, One Team.
We're all connected.

